Manufacturing Incentives for Stockton, California

A one-page summary of programs that can lower the cost of building and running a manufacturing facility in Stockton, from federal to city level.

> **Public information.** Every program below is published by the agency that runs it. Readers can look up current eligibility, amounts, and deadlines at the sources listed. Programs change over time; this summary is for orientation only and is not tax, legal, or financial advice.

FEDERAL

- **Build America, Buy America (BABA)**: requires U.S.-made iron, steel, and manufactured products in federally funded infrastructure, which creates demand for locally made products such as public lighting. energy.gov/management/build-america-buy-america
- **Advanced Energy Project Credit (Section 48C)**: a tax credit toward the cost of building or upgrading qualifying clean energy manufacturing facilities. irs.gov (Advanced Energy Project Credit)
- **Advanced Manufacturing Production Credit (Section 45X)**: a per-unit tax credit for producing eligible clean energy components. irs.gov (Advanced Manufacturing Production Credit)

STATE OF CALIFORNIA

- **California Competes Tax Credit**: state income tax credits for businesses that create jobs and invest in California. business.ca.gov/california-competes-tax-credit
- **Manufacturing equipment partial sales tax exemption**: reduces sales tax on qualifying manufacturing and R&D equipment. cdtfa.ca.gov
- **CAEATFA Sales Tax Exclusion**: sales tax exclusion on equipment for advanced manufacturing and clean energy projects. treasurer.ca.gov/caeatfa/ste
- **Employment Training Panel**: funding to train new and existing workers. etp.ca.gov
- **Self-Generation Incentive Program**: support for on-site energy storage and generation. cpuc.ca.gov/sgip

REGIONAL AND UTILITY

- **PG&E Economic Development Rate**: discounted electricity rates for eligible businesses that bring new load and jobs to the area. pge.com (Economic Development Rate)
- **San Joaquin Valley Air District grants**: funding for cleaner equipment, such as electric forklifts. valleyair.org

SAN JOAQUIN COUNTY

- **WorkNet On-the-Job Training**: partial reimbursement of wages while new hires are trained. sjcworknet.org
- **Business financing, including a Revolving Loan Fund**: loans on favorable terms for new and expanding businesses. sjgov.org/business/development/finance

CITY OF STOCKTON

- **Development fee deferral**: lets eligible projects pay development fees later, freeing cash for construction and equipment.
- **Economic development incentives**: incentives for projects that generate significant local jobs and sales.
- **PACE financing**: finances solar and energy-efficiency upgrades through property tax assessments. stocktonca.gov/business

PORT OF STOCKTON

- **Foreign Trade Zone #231**: import duties can be deferred, reduced, or eliminated, which improves cash flow for companies that import materials or export products. portofstockton.com/foreign-trade-zone

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Summarized from the student report "Data-Driven Promotion of the City of Stockton for Manufacturing Investment" by Felipe Cosio, Gursehajpal Singh, Leonardo Magana, Eric Cardenas, and Fatima Naeem, University of the Pacific. Biz Data Lab, biz-datalab.github.io.